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Lens Technology | Asia Pacific

2Q26 Beat on Margin

AlphaSignals Earnings Reaction

Unchanged

Impact to our thesis

↑ Modest upside

Financial results versus consensus

↑ Modest revision higher

Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

We expect seasonal demand to pick up in 2H26 along with major customers' product roadmaps, though valuation looks fair here.

2Q26 details:

- Revenue of Rmb14,727mn (+4% QoQ/-7% YoY) was 9% below MSe of Rmb16,219mn and 6% below consensus of Rmb15,626mn, mainly on slower consumer electronics demand amid elevated memory costs and Rmb appreciation against USD.
- By segment in 1H26:
 - Smartphone & NB revenue of Rmb22,382mn (78% of total) fell 18% YoY amid weak consumer electronics demand; 2Q26 saw sequential growth.
 - EV & Smart Cockpit revenue of Rmb3,372mn (12% of total) rose 7% YoY as multiple new projects started to ramp. Revenue growth accelerated in 2Q26 to 16% QoQ and 10% YoY.
 - AR/VR & Smart Wearables revenue of Rmb1,777mn (6% of total) brew 8% YoY as AI glasses related module assembly began to ramp.
 - Other smart device revenue was Rmb534mn (2% of total), up 47% YoY, as offerings including robotic arms and modules started to ship.
- Gross margin improved 3.7ppt QoQ to 18.2% (vs. MSe at 16%), reflecting a more favorable product mix and better manufacturing efficiency/yield.
- Net profit came in at Rmb726mn (EPS Rmb0.14; vs. a loss of Rmb150mn in 1Q26 and up 2% YoY), 30% above MSe of Rmb560mn and 27% above consensus of Rmb571mn.
- Net recurring profit of Rmb452mn was significant better than -Rmb174mn in 1Q26, but fell 19% YoY.

Our view:

- We expect seasonal demand to pick up in 2H26 in the core consumer electronics business along with major customers' product roadmaps, especially foldable smartphone models.
- Other emerging businesses including automobile, cloud AI, physical AI, satellite and HDD, etc., all appear to represent good business opportunities in the future, but we would also monitor the risk of pursuing multiple new projects at the same time.
- We remain EW as we think current valuation of 28x consensus 2027e P/E has factored in most of the growth potential for the coming years.

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Lens Technology (300433.SZ, 300433 CS)

Greater China Technology Hardware | China

Stock Rating	Equal-weight
Industry View	In-Line
Price target	Rmb31.00
Up/downside to price target (%)	(17)
Shr price, close (Aug 21, 2026)	Rmb37.19
52-Week Range	Rmb58.50-24.94
Sh out, dil, curr (mn)	5,086
Mkt cap, curr (mn)	Rmb189,143
EV, curr (mn)	Rmb184,872
Avg daily trading value (mn)	Rmb3,994

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	0.79	0.82	1.39	1.67
Revenue, net (Rmb mn)	74,410	78,039	100,053	115,503
EBITDA (Rmb mn)	12,271	11,637	14,763	16,691
ModelWare net inc (Rmb mn)	4,018	4,187	7,077	8,477
P/E	38.3	45.2	26.7	22.3
P/BV	2.9	3.4	3.1	2.8
RNOA (%)	13.3	14.6	20.3	23.6
ROE (%)	8.2	7.6	12.4	13.3
EV/EBITDA	12.7	15.8	12.0	10.1
Div yld (%)	1.8	1.2	0.3	0.5
FCF yld ratio (%)	2.9	3.8	5.5	6.6
Leverage (EOP) (%)	(9.9)	(12.3)	(21.0)	(29.8)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology
e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

Lens Technology (300433.SZ)

Base case, P/E. We use a target multiple of 22x for 2027e. We believe this is justified by the 26% operating profit CAGR we project for 2025-28.

Risks to Upside

- Stronger demand for foldable phones.
- Lens Tech gains market share among existing customers.
- Progress for emerging businesses, i.e. humanoids, satellites and HDDs are faster than expected.

Risks to Downside

- Weaker-than-expected demand for foldable phones.
- Global smartphone demand is weaker than expected.
- Significant capacity expansion not executed well.

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(as of July 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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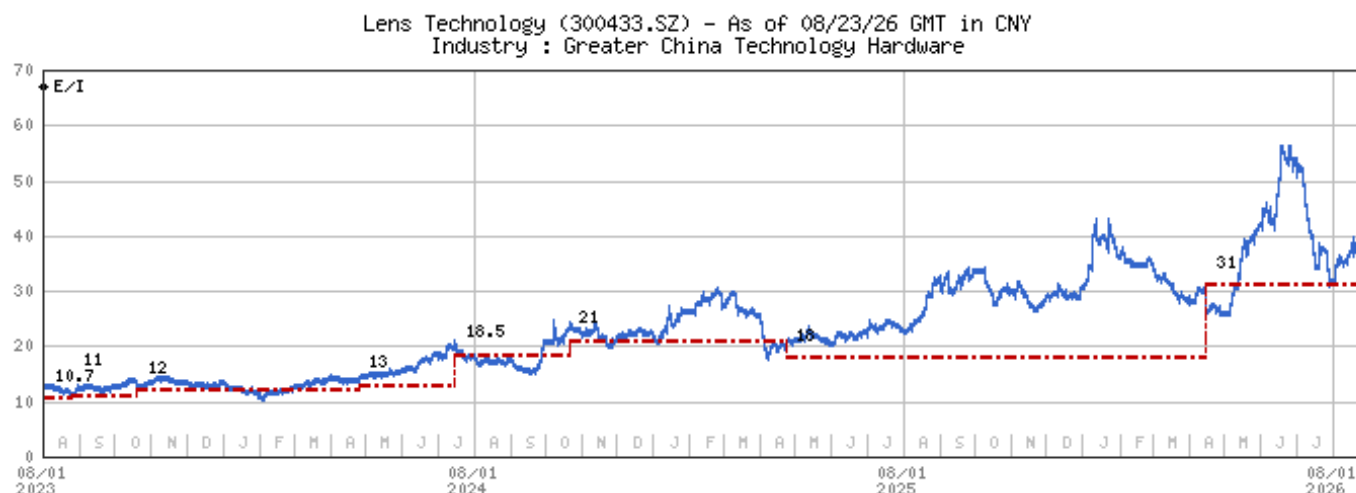
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Stock Rating History: 8/1/21 : E/I

Price Target History: 6/23/21 : 34.5; 8/26/21 : 29.5; 10/30/21 : 25.2; 3/30/22 : 13; 5/23/22 : 10.7; 8/25/23 : 11; 10/19/23 : 12; 4/25/24 : 13; 7/15/24 : 18.5; 10/21/24 : 21; 4/23/25 : 18; 4/16/26 : 31

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 Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/21/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK\$40.10
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb178.58
BYD Electronics (0285.HK)	O (04/28/2023)	HK\$23.58
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb7.47
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb16.11
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb442.00
Genius Electronic Optical Co. Ltd. (3406.TW)	E (04/23/2025)	NT\$652.00
GoerTek Inc (002241.SZ)	E (08/14/2026)	Rmb23.40
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.44
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb34.40
Largan Precision (3008.TW)	O (07/10/2026)	NT\$5,610.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb6.56
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb12.24
Lingyi Itech Guangdong Co (1688.HK)	O (08/14/2026)	HK\$6.24
Luxshare Precision Industry Co., Ltd. (2475.HK)	O (08/14/2026)	HK\$61.10
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb54.65
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb7.09
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK\$6.79
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb58.01
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK\$39.96
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb57.81
Sunny Optical (2382.HK)	E (03/23/2026)	HK\$61.75
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb273.08
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb16.67
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK\$29.02
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb363.60

Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK\$140.00
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb106.87
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb27.48
Zhongji Innolight Co Ltd (300308.SZ)	++	Rmb943.00
ZTE Corporation (0763.HK)	O (06/04/2026)	HK\$23.86
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb33.78
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT\$2,035.00
Advantech (2395.TW)	O (01/20/2021)	NT\$649.00
AirTAC International (1590.TW)	O (04/16/2025)	NT\$1,435.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT\$2,865.00
AU Optronics (2409.TW)	E (02/10/2026)	NT\$25.60
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT\$969.00
Bizlink (3665.TW)	O (03/10/2025)	NT\$2,275.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb6.00
Chenbro (8210.TW)	O (07/23/2025)	NT\$944.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT\$2,100.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT\$1,750.00
E Ink Holdings Inc. (8069.TWO)	E (08/10/2026)	NT\$160.50
Ennostar Inc (3714.TW)	U (09/23/2022)	NT\$57.30
Fositek Corp (6805.TW)	O (06/25/2025)	NT\$1,765.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT\$349.00
Innolux (3481.TW)	E (04/07/2025)	NT\$46.05
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT\$13,385.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb37.19
Lite-On Technology (2301.TW)	E (01/15/2025)	NT\$261.00
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb5.03
Tianma (000050.SZ)	U (01/24/2018)	Rmb6.54
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb217.09
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT\$30.70
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT\$921.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT\$203.50
Compal Electronics (2324.TW)	U (04/23/2025)	NT\$38.95
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK\$5.05
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb62.84
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT\$339.50
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT\$965.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT\$245.50
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb76.35
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT\$2,920.00
Lenovo (0992.HK)	O (07/10/2026)	HK\$29.78
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT\$1,595.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT\$1,135.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT\$88.60
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT\$321.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb132.80
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb358.25
Unimicron (3037.TW)	O (02/23/2026)	NT\$1,085.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT\$406.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT\$175.50
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT\$6,255.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT\$554.00
Zhen Ding (4958.TW)	++	NT\$441.00

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